

# What counts as investment?

Use opportunity cost, liquidity, risk and return to classify personal financial decisions.

**IGCSE bridge:** In macroeconomics, **investment** usually means spending on capital goods, while **saving** means income not consumed. This handout classifies personal financial decisions. / 本讲使用个人金融分类。

## Definitions for financial decisions / 个人金融定义

|                          |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |
|--------------------------|-------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Investment</b><br>投资  | <p>In this handout, financial investment means committing money to an asset for an expected total return supported mainly by income, productive activity or evidence about underlying value, while accepting possible loss.</p> <p><b>Key clue:</b> income or productive return / 收入或生产性回报</p> <p><b>Examples</b></p> <ul style="list-style-type: none"> <li>• Shares bought after analysing profits and dividends</li> <li>• A bond chosen for interest and repayment after checking credit risk</li> <li>• Property assessed using expected net rent</li> </ul> |
| <b>Speculation</b><br>投机 | <p>Speculation means taking a position where expected profit depends mainly on correctly predicting a price movement or uncertain event. In this course, classify it separately from investment.</p> <p><b>Key clue:</b> the forecast must be right / 预测必须正确</p> <p><b>Examples</b></p> <ul style="list-style-type: none"> <li>• Shares bought after an unverified takeover rumour</li> <li>• Gold bought mainly for a rapid resale gain</li> <li>• Currency bought before a predicted policy-announcement price move</li> </ul>                                  |
| <b>Saving</b><br>储蓄      | <p>Saving means postponing consumption and holding money mainly for future use, prioritising capital preservation and liquidity. Interest alone does not turn saving into investment.</p> <p><b>Key clue:</b> safety and ready access / 安全性和随时取用</p> <p><b>Examples</b></p> <ul style="list-style-type: none"> <li>• An emergency fund in an instant-access account</li> <li>• Examination fees held in a protected deposit</li> <li>• A short-term cash buffer that earns modest interest</li> </ul>                                                             |

## Classify by the main clue / 按主要线索分类

| Main clue<br>主要线索                                                   | Classify as<br>分类                            |
|---------------------------------------------------------------------|----------------------------------------------|
| Income, productive activity or evidence-supported underlying value. | <b>Financial investment</b><br>金融投资          |
| A predicted price movement or uncertain event dominates.            | <b>Speculation - separate category</b><br>投机 |
| Capital preservation and liquidity take priority.                   | <b>Saving - separate category</b><br>储蓄      |

# Investment or speculation?

Use evidence and the expected source of payoff; the asset name, risk and time horizon do not decide alone.

## Core comparison / 核心比较

| Criterion                           | Financial investment<br>金融投资                                                                       | Speculation<br>投机                                                                                    |
|-------------------------------------|----------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------|
| <b>Main expected payoff</b><br>回报来源 | Income such as dividends, interest or rent, and/or evidence-supported growth in underlying value.  | A capital gain from a predicted price movement or uncertain event.                                   |
| <b>Evidence used</b><br>使用的证据       | Profits, cash flows, debt, valuation and diversification support the decision.                     | Timing, momentum, rumours or one event dominate the decision.                                        |
| <b>Role of resale</b><br>转售的作用      | Resale may matter, but the expected return is not based only on a short-term price forecast.       | Profit depends mainly on selling after the predicted price move.                                     |
| <b>Risk and horizon</b><br>风险与期限    | Can be risky and can be short or long term; risk is accepted because of the expected total return. | Risk is concentrated in the forecast or event, but high risk and short duration alone do not decide. |
| <b>Same asset?</b><br>相同资产?         | Shares, bonds, property or gold can be used for financial investment.                              | The same assets can be used for speculation; the decision and payoff source matter.                  |

## Classify and justify with the payoff source / 按回报来源分类并说明理由

| Decision                                                                                                                                                                    | Classify and justify                          |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-----------------------------------------------|
| Amina compares a company's profits, cash flow and debt, then buys a diversified group of shares. She expects dividends and long-term business growth to provide the return. | WORKED EXAMPLE<br><i>Financial investment</i> |
| Bao borrows money after an online rumour says a government announcement will raise a share price next week. He plans to sell immediately after the announcement.            | Category + economic reason                    |
| Chloe buys a flat after estimating rent, maintenance and vacancy costs. She expects net rent to be the main source of return.                                               | Category + economic reason                    |

# Investment or saving?

Use purpose, capital-loss risk and liquidity; postponing consumption occurs in both categories.

## Core comparison / 核心比较

| Criterion                       | Financial investment<br>金融投资                                                     | Saving<br>储蓄                                                                                  |
|---------------------------------|----------------------------------------------------------------------------------|-----------------------------------------------------------------------------------------------|
| <b>Main purpose</b><br>主要目的     | Seek an uncertain total return from an asset.                                    | Preserve funds for planned or emergency use.                                                  |
| <b>Capital loss</b><br>资本损失     | Accept that market value may fall and capital may be lost.                       | Prioritise nominal capital preservation, although inflation can reduce real purchasing power. |
| <b>Liquidity</b><br>流动性         | May accept restricted access or price risk when selling.                         | Ready access is often a central priority.                                                     |
| <b>Expected return</b><br>预期回报  | Income and capital growth are uncertain; a higher return is sought.              | Interest may be modest and predictable; interest alone does not make it investment.           |
| <b>Opportunity cost</b><br>机会成本 | Current consumption is postponed in the hope of a suitable risk-adjusted return. | Current consumption is also postponed; this fact alone does not decide the category.          |

## Same future goal, different economic choice / 相同目标, 不同选择

| Decision                                                                                                                                                              | Classify and justify            |
|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------|---------------------------------|
| Daniel keeps examination fees due in eight months in a protected easy-access account. He accepts low interest because liquidity and capital preservation matter most. | WORKED EXAMPLE<br><i>Saving</i> |
| Eva buys a diversified fund for university costs in ten years. She studies the fees and risks and accepts that its market value may fall.                             | Category + economic reason      |
| Farah keeps an emergency fund in an instant-access bank account. She values quick withdrawal more than a higher expected return.                                      | Category + economic reason      |
| George buys a bond fund for retirement. He examines interest income, default risk and fees and accepts possible changes in market value.                              | Category + economic reason      |

# Use an economist's decision rule

Ask the questions in order. If evidence is insufficient, do not force a category.

| Step<br>步骤 | Ask                                                                                                              | If yes                              |
|------------|------------------------------------------------------------------------------------------------------------------|-------------------------------------|
| 1          | Is capital preservation and liquidity the main priority?                                                         | <b>Saving</b><br>储蓄                 |
| 2          | If return is the goal, is it supported mainly by income, productive activity or evidence about underlying value? | <b>Financial investment</b><br>金融投资 |
| 3          | Does profit depend mainly on forecasting a price movement or uncertain event?                                    | <b>Speculation</b><br>投机            |

## Correct each inaccurate claim / 改正不准确的说法

| Inaccurate claim                                                                      | More accurate correction |
|---------------------------------------------------------------------------------------|--------------------------|
| Because saving is income not consumed, every act of saving is a financial investment. |                          |
| Buying an existing share directly increases the economy's stock of capital goods.     |                          |
| A high-risk short-term decision must be speculation.                                  |                          |

## MCQs / 选择题

### 1. In IGCSE macroeconomics, which action is most clearly investment?

- A. A household places wages in an easy-access account.
- B. A firm buys a new machine for production.
- C. A consumer buys an existing share from another investor.
- D. A bank pays interest on a deposit.

### 2. Which decision is saving rather than financial investment?

- A. Holding examination fees in a protected easy-access account.
- B. Buying a diversified fund while accepting possible capital loss.
- C. Buying shares after analysing profits, debt and cash flow.
- D. Buying property mainly for expected net rent.

### 3. Which evidence most clearly indicates speculation?

- A. Expected bond interest after analysing default risk.
- B. Expected net rent after estimating vacancy and maintenance.
- C. Borrowing after a rumour of a next-week price jump and planning a quick sale.
- D. Accepting that a diversified long-term fund can lose value.